

Strategy Assignment: Lumora HealthTech

Student Assignment Brief

Course Module: Winning Ambition

Case Study: Lumora HealthTech

Assignment Context

Lumora HealthTech is a mid-sized B2B digital health company based in Germany, specializing in diagnostic software for outpatient clinics and diagnostic labs across the DACH region (Germany, Austria, Switzerland). Its flagship product is a Diagnostic Decision Support System (DDSS) used in lab diagnostics to analyze patient data (symptoms, lab results, medical history) and suggest likely diagnoses or next steps, helping reduce time-to-diagnosis and errors.

After early growth, Lumora's momentum has plateaued in recent years. Market saturation in core segments and the rise of specialized competitors (e.g. niche AI tools focusing on single diagnostics modalities like radiology) have pressured margins. Lumora's leadership has been reassessing the company's strategy – exploring **where to play** (new markets and segments), refining **how to win** (value proposition enhancements) and defining **how to play** (operating model) – to reignite growth. With these analyses in pipelin, the executive team realizes that clarifying the company's overarching **Winning Ambition** is critical for guiding the next strategic phase.

Current Identity Check: Lumora's leadership and culture have traditionally emphasized **precision, reliability, and compliance** in diagnostics. The company was founded with a mission of *"empowering diagnostic professionals with accurate, trusted tools to improve patient outcomes."* Core values often cited internally include *quality, integrity, and partnership with healthcare providers*. However, as Lumora has grown, its **purpose and values** have not been formally revisited, and newer employees feel the company's innovative spirit is modest. Notably, Lumora lacks a bold **vision statement** – beyond a general desire to be a "leading diagnostics software provider" in its region. There's a sense that the company's ambition could be sharper and more inspiring. The previous strategic plan (five years ago) set financial growth targets that Lumora nearly achieved before growth levelled off. Leadership acknowledges that the company's **North Star** – its Winning Ambition – needs redefining to navigate upcoming industry shifts.

Industry Foresight (2025–2030): The next 5–10 years will bring transformative changes to Lumora's operating environment in health diagnostics:

- **AI-Powered Diagnostics:** By 2030, artificial intelligence will be deeply integrated into diagnostics. From imaging analysis to pattern recognition in lab results, AI will enable earlier and more accurate detection of diseases. Diagnostic software vendors must balance AI's capabilities with clinicians' need for transparency and trust in the results.
- **Digital Transformation & Integration:** Healthcare providers demand seamless integration of diagnostic tools with electronic health records (EHRs) and hospital information systems. Cloudbased solutions and interoperable platforms will become the norm. Clients will favor partners who can ensure data flows securely across systems, enabling real-time insights and remote access to diagnostic tools.
- **Regulatory Evolution:** Regulators in the EU and beyond are introducing stricter frameworks for digital health and AI. Compliance requirements for data privacy (e.g. GDPR), AI transparency, and validation of clinical software will rise. Companies must invest in meeting medical device software regulations and obtaining certifications, which can be a competitive advantage if done early.
- **Patient-Centric Care Trends:** Healthcare is shifting toward patient-centric and preventative care. Diagnostics is extending beyond the lab – with point-of-care tests, at-home diagnostic devices, and wearable health trackers generating data. Providers and patients expect faster turnaround and more actionable insights from diagnostics.

Lumora's end-users (labs and clinics) are under pressure to deliver not just accurate results, but to integrate those results into holistic patient care quickly. This trend means Lumora may need to help labs serve the needs of more empowered patients and coordinate with other care facets.

- **Competitive Landscape:** Tech giants and agile startups are entering the healthcare diagnostics space, blurring traditional boundaries. Big data platforms, cloud providers, and AI-focused firms are offering diagnostic decision support or analytics. To stand out, Lumora will need a compelling purpose and vision that resonates in this evolving ecosystem – for example, emphasizing **innovation**, **customer-centric solutions**, and demonstrated improvements in health outcomes. The coming years will reward companies that can adapt culturally and strategically to these changes.

In this context, Lumora's executives have tasked you with reimagining the company's **Winning Ambition** to ensure the organization is guided by a clear and inspiring strategic purpose as it moves into the future.

Your Task

You are a Strategy Advisor working with Lumora HealthTech's executive team. Your assignment is to **simulate a strategic decision-making exercise** focused on Lumora's "Winning Ambition." This exercise is divided into two parts:

Part 1 – Diagnosing Lumora's Current Winning Ambition: Analyze Lumora's **implied Purpose, Values, and Vision** based on the case information. What core purpose and values seem to drive Lumora today? What vision (explicit or implicit) does the company currently have? Identify any gaps, inconsistencies, or misalignments in these elements. *(Note: You do not need to assess "Level of Ambition" for the current state – assume past quantitative goals are no longer relevant.)*

Part 2 – Designing Lumora's Winning Ambition for the Next 5 Years: Propose a refreshed set of ambition elements for Lumora's next strategic phase (looking about five years ahead): - **Core Purpose (Mission):** A clear, enduring statement of Lumora's fundamental purpose – why the company exists beyond just making money. This may be a revised or reaffirmed mission based on the diagnosis in Part 1. - **Core Values:** A set of guiding principles or cultural tenets (typically 3–5 values) that Lumora should preserve or evolve. These should reflect what aspects of the culture to keep and what new behaviours or priorities to encourage, given the strategic challenges ahead. - **Vision:** Define a compelling vision for Lumora's future (5 years and beyond). This should include a **BHAG (Big Hairy Audacious Goal)** – a bold qualitative or quantitative goal for 5 years out and beyond – and a **vivid description** of what Lumora will look like once this goal is achieved. Describe the future state in concrete terms (market position, reputation, capabilities, impact on customers/patients, etc.). - **Level of Ambition:** Establish measurable targets that align with the vision. Propose specific 5-year targets across key dimensions – **Financial**, **Customer**, **Internal Process**, and **Learning & Growth** (think of a balanced scorecard): for example, revenue or market share goals (financial), customer acquisition or satisfaction targets (customer), operational or innovation improvements (internal process), and people or capacity-building goals (learning & growth). Ensure these metrics collectively quantify what "winning" means for Lumora by 5 years from now.

When designing the Winning Ambition, ensure **internal coherence** (the Purpose, Values, Vision, and Level of Ambition should logically reinforce each other) and alignment with the provided **industry foresight scenario**. In other words, your proposed Purpose and Values should set the tone for the Vision; the Vision should be made tangible through the Level of Ambition metrics; and all elements should respond to the opportunities and challenges in Lumora's future environment. Aim for an ambition that is **aspirational yet credible**, motivating the organization to stretch itself while remaining grounded in Lumora's context.

Use **only the information in this case** to inform your analysis and proposals – no outside research is needed. The case is designed to provide sufficient data. Be specific and concise in your answers, focusing on strategic insight and clarity.

Assignment Instructions

Part 1: Diagnose Current Winning Ambition

1. **Current Purpose, Values, Vision:** Identify Lumora HealthTech's implied **Core Purpose**, **Core Values**, and **Vision** based on the case description. Describe each of these elements as you perceive them in the company's current state. (What does Lumora currently see as its mission? What values are emphasized? What vision – if any – has it been pursuing?)
2. **Gaps and Misalignments:** Critically evaluate these current ambition elements. Are there gaps (e.g., missing or unclear elements) or inconsistencies between what Lumora says and what it does? For example, is the stated purpose too generic or not shared widely? Do any cultural values conflict with the strategic needs? Is the vision lacking or not aligned with market realities? Identify **key issues** that need to be addressed as Lumora revisits its Winning Ambition.

Part 2: Design Next-Phase Winning Ambition (5-Year Horizon)

3. **Core Purpose & Values for the Next 5 Years:** Propose a refined **Core Purpose (Mission statement)** for Lumora that will guide the company forward. Also, recommend **3–5 Core Values** that Lumora should uphold. These should encompass both continuity (important aspects of Lumora's existing culture that should be preserved) and change (new values or emphasis needed to succeed in the future context). Provide a brief rationale for your choices.
4. **Vision – BHAG and Vivid Description:** Articulate Lumora's **Vision** for approximately five years in the future. Formulate a **BHAG** – a Big Hairy Audacious Goal – that is clear and bold (e.g. a market position, impact, or performance goal for 5 years out and beyond). Accompany this with a **vivid description**: a paragraph describing what it will look and feel like when Lumora achieves that BHAG. This description should paint a concrete picture of Lumora's future (consider its products, customers, reputation, scale, and contribution to healthcare).
5. **Level of Ambition – Quantitative 5-Year Targets:** Define a set of measurable targets that underpin the vision. Include at least one ambitious yet realistic metric for each of the four dimensions:
 - **Financial** (e.g. five-year revenue target, profitability, market share or valuation goal)
 - **Customer** (e.g. number of clinics/hospitals served, customer satisfaction/NPS, customer retention or growth in user base)
 - **Internal Process** (e.g. product innovation cycle time, platform performance or quality measures, operational efficiency improvements, compliance achievements)
 - **Learning & Growth** (e.g. employee engagement or retention rates, talent development targets, R&D investment, intellectual property or partnerships developed)

For each target, you may state the current baseline (if known or assume it) and the goal for five years ahead. Ensure these targets align with the Vision and collectively indicate the level of success Lumora aspires to.

6. **Coherence & Alignment Check:** Finally, briefly explain how your proposed Purpose, Values, Vision, and Level of Ambition **fit together** as a cohesive Winning Ambition. Verify that they are consistent with each other (no element contradicts another) and that they address the trends and challenges in the **foresight scenario**. The goal is to show that Lumora's new Winning Ambition not only reflects internal ideals but also positions the company to “win” in the evolving HealthTech landscape.

Expected output: You may structure your answers by the numbered steps above for clarity. The entire assignment should take about **1 hour** to complete, and you are expected to work **individually**. Be as concrete as possible, especially in Part 2 – your recommendations will serve as the guiding vision for Lumora, so they should be actionable and inspiring. Good luck!

Grading Rubric

Section (Step)	Criteria	Points
Step 1: Current Purpose, Values, Vision	Correct identification of Lumora's implied mission, core values, and vision (as per case information). Clarity and succinctness in describing these elements.	15 pts
Step 2: Gaps and Misalignments	Insight in diagnosing issues: Are key gaps, misalignments, or inconsistencies identified? Depth of reasoning on why these elements are lacking or not coherent.	15 pts
Step 3: New Purpose & Values	Quality of the proposed mission statement (clear, inspirational, relevant) and chosen core values (appropriate and strategic). Rationale shows understanding of which cultural aspects to preserve vs. change.	20 pts
Step 4: Vision (BHAG & Description)	Ambition and clarity of the BHAG (bold yet credible). Creativity and vividness of the future description. Alignment of vision with Lumora's context and industry trends.	20 pts
Step 5: Level of Ambition (Targets)	Specificity and relevance of chosen metrics in all four dimensions. Targets are coherent with the vision (not too timid or unrealistic). Shows understanding of what success looks like in measurable terms.	20 pts
Step 6: Coherence & Alignment	Overall coherence of the Winning Ambition elements. The purpose, values, vision, and metrics reinforce each other and address the future scenario. Clear explanation of alignment with industry foresight.	10 pts
Total		100 pts

Appendix: Key Case Information (for reference while working on the assignment)

- **Lumora's Current Mission (implied):** *"Empowering diagnostic professionals with accurate, trusted tools to improve patient outcomes."* (This phrase has been used in Lumora's marketing, reflecting a focus on accuracy and trust. It serves as an unofficial mission statement, though it hasn't been formally updated in years.)
- **Core Values (current culture highlights):** Lumora's culture emphasizes **Quality** (precise, errorfree results), **Integrity** (ethical behavior, data compliance), and **Partnership** (close collaboration with labs/clinics). Employees take pride in being known as a "trusted lab partner." However, values like **Innovation** or **Agility** are not strongly evident – Lumora tends to be cautious, which some newer team members feel slows modernization.
- **Current Vision (implicit):** Lumora does not have a crisply articulated long-term vision. Historically, leadership aimed to be *"the leading diagnostic software provider in DACH"*. The company achieved a strong position in Germany/Austria lab markets, but this vision now feels narrow and not forward-looking enough (especially as technology and markets evolve). There is no bold public "vision 2030" statement guiding the company today.
- **Previous Goals:** Five years ago, Lumora set a goal to **double its revenue** in 5 years by expanding within its core markets – it achieved ~70% of that target as growth stalled. Customerwise, it aimed to maintain a >90% retention rate (it achieved ~88%) and to enter one new adjacent segment (which it did, with mixed results).

These past ambitions were modest and internally focused, and they lacked emphasis on innovation or broader impact.

- **Leadership Perspective:**

- *CEO*: “We need a clear definition of success. We talk about being the best, but we haven’t defined what **winning** means for us now.” (Acknowledges the lack of a current inspiring ambition.)
- *CTO*: “Our DNA is reliability in diagnostics. As we innovate, we must not lose that trust factor.” (Highlights importance of existing strengths in any future vision.)
- *Head of Product*: “I’d love for us to set a big vision – like truly AI-driven diagnostics or expanding access – something that gets people excited and gives us a target to rally around.” (Desire for a more inspiring vision.)
- *HR Director*: “Our people believe in Lumora’s purpose to help patients through better diagnostics. But they also want to see us more boldly embrace new tech and ideas – otherwise we risk losing talent to startups with bigger dreams.” (Internal culture needs a spark of ambition to retain talent.)

- **Industry Outlook (Highlights, 5–10 years):**

- AI will assist in ~30% or more of all diagnostic decisions (estimate), requiring companies like Lumora to integrate AI or risk obsolescence.
- Healthcare providers expect software partners to ensure **interoperability** (plug-and-play with EHRs, lab instruments, national health data networks). This could become a standard requirement.
- Regulatory bodies (e.g., EU MDR, upcoming AI regulations) will likely mandate transparency in AI algorithms and stricter validation for diagnostic software, raising the bar for market entry and trust.
- Patient-centric care means labs and diagnostic tools must deliver faster results and actionable insights, as patients and clinicians demand more immediate, personalized information. Companies enabling **remote diagnostics** or seamless patient data sharing will have an edge.
- New entrants (big tech cloud providers offering healthcare analytics, AI startups, even large lab equipment manufacturers extending into software) are changing competitive dynamics. Standing still is not an option; continuous innovation and a strong brand trust will be key to survival and leadership.